**THE NATIONAL COMPANY LAW TRIBUNAL**
**CHANDIGARH BENCH, COURT-I, CHANDIGARH**

**CA (CAA) No. 37/Chd/Hry/2024**
**(1st Motion)**

**Under Sections 230 to 232 of the Companies Act, 2013, read with Section 66 and other applicable provisions of Companies (Compromise, Arrangements and Amalgamations) Rules, 2016**

**IN THE MATTER OF SCHEME OF ARRANGEMENT OF**:

**Ujjwal Finserv Private Limited**
CIN:U65920PB1981PTC004719
PAN: AABCS9029B
Having its registered office at
The Axis, First Floor, Plot No.1
R.B. Badri Dass Colony
BMC Chowk, G.T. Road
Jalandhar, Punjab- 144001
Through, Dalbir Singh, Authorized Signatory

...Applicant Company No.1/Demerged Company

And

**Samra Finance and Properties Private Limited**
CIN:U68100PB2024PTC061973
PAN: ABNCS8318J
Having its registered office at
The Axis, First Floor, Plot No.1
R.B. Badri Dass Colony
BMC Chowk, G.T. Road
Jalandhar, Punjab- 144001
Through, Sangram Singh Samra, Authorized Signatory

...Applicant Company No.2/Resulting Company

**Order delivered on: 18.12.2024**

**Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)**
**HON'BLE MR. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)**

**Present:**

For the Applicant Companies: Mr. Rajeev Goel, Advocate

**Per: Sh. Harnam Singh Thakur, Member (Judicial)**
**Sh. Umesh Kumar Shukla, Member (Technical)**

**ORDER**

This is a Joint First Motion Application (hereinafter referred to as the **"Application"**) filed under the Sections 230 to 232 read with Section 66 and other relevant provisions of the Companies Act, 2013 (hereinafter referred to as the **"Act"**), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, (hereinafter referred to as the **"Rules"**), the National Company Law Tribunal Laws, 2016 (hereinafter referred to as the **"NCLT Rules"**), and other applicable provisions, if any, by the Applicant Companies namely: Ujjwal Finserv Private Limited (hereinafter referred to as the **"Applicant Company No. 1" or "Demerged Company"**) and Samra Finance and Properties Private Limited (hereinafter referred to as the **"Applicant Company No. 2" or "Resulting Company"**) (hereinafter Applicant Company No. 1 and 2 collectively referred to as the **"Applicant Companies"**) in connection with the proposed Scheme of Arrangement of Applicant Company No. 1 and Applicant Company No. 2 (hereinafter referred to as the **"Scheme"**) to obtain appropriate orders to dispense with/convene the meetings of the Shareholders, Secured Debenture Holders, Secured Creditors and Unsecured Creditors of the Applicant Companies for the purpose of considering and approving, with

or without modification, the Scheme. It has also been prayed to direct (i) publication of the notice of the proposed meetings in "Financial Express" (English Language, Chandigarh and Punjab Edition) and "Jag Bani" (Punjabi Language, Jalandhar Edition) Newspapers; and (ii) service of notice of the Application on the Statutory Authorities.

2. The Scheme provides for Demerger of the 'Real Estate Business' of Applicant Company No.1 into Applicant Company No.2 on going concern basis; and various other matters incidental, consequential, or otherwise integrally connected with the aforesaid Demerger. The said Scheme has been annexed with the Application as **Annexure 'A-4'**.

3. The Applicant Company No.1 and Applicant Company No.2 have their respective registered offices in the State of Punjab. Hence the Applicant Companies are under the territorial jurisdiction of this Bench.

**FACTS OF THE CASE:**

4. The brief facts, as stated in the Application, as summarised below:

i. The Applicant Company 1 was incorporated on 17th November 1981, under the provisions of the Companies Act, 1956, as a private limited company with the name and style as 'Samra Finance and Properties Private Limited' vide Certificate of Incorporation issued by the Registrar of Companies, Punjab, Himachal Pradesh, and Chandigarh. The Demerged Company was converted into a public

limited company and the name of the company was changed to 'Samra Finance and Properties Ltd.' on 3rd August 2001, by the Registrar of Companies, Punjab, Chandigarh. The Demerged Company was subsequently converted into a private limited company and the name of the company was changed to 'Samra Finance and Properties Private Limited' vide Fresh Certificate of Incorporation dated 28th August 2019, issued by the Registrar of Companies, Punjab, Chandigarh. The name of the Demerged Company was finally changed to its present name, 'Ujjwal Finserv Pvt. Ltd.' vide Fresh Certificate of Incorporation dated 8th July 2020, issued by the Registrar of Companies, Punjab, Chandigarh.

It is registered with the Reserve Bank of India (hereinafter referred to as the "RBI") as a non-deposit accepting Non-Banking Financial Company (hereinafter referred to as the "NBFC"). It is engaged in investment in shares and other securities, providing loans and advances and other related activities as well as in real estate business and other ancillary activities, and has two business verticals- NBFC and Real Estate. A copy of its Memorandum and Articles of Association and its 'Master Data' as available on the online portal of the Ministry of Corporate Affairs/the Registrar of Companies, have been enclosed with the Application as **Annexure**

**A-1/1**. The detailed objects, as set out in Clause III(A) of its Memorandum of Association are briefly stated below:

**(A) MAIN OBJECTS TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE AS FOLLOWS:**

1. To carry in India or elsewhere in all its branches, the business of Hire Purchase, Housing, General Finance and Investments.
2. To purchase, sell or hire out or sell by installment or on hire purchase system all kinds of motor vehicles, motorcycles, cycles, auto rickshaws, aeroplanes, launches, boats (mechanical or otherwise) sewing machines, office machines and equipment, tape recorders, radio and camera, electric fans, refrigerators, air conditioners, cine laboratory and studio equipment, cinematograph machines apparatus , heaters and other household equipment and electronic gadgets all classes of printing and industrial machinery or any other allied article or article that the company may deem fit.
3. To purchase, sell and deal in government promissory notes and securities, part trusts debentures, corporation securities, shares and stock.
4. *To undertake research, valuation, and provide consultancy services for acquisition or construction of real estate business.
5. *To carry in India the business of Marketing, Promoting, Advertising or dealing in any type of the above activities to customers, both in external and internal markets, on its own or through network marketing of whatever sort or nature including Print & Electronic Media, E-Mailer, Text, Social Media, Hoardings, Pamphlets etc.
6. *To devise a personalized E-Mailer, as a powerful marketing tool for fast mass mailer to manage email campaigns for customers.
7. *To carry on the business of advertising, market research, public relations, sales promotion and specialist communications and to develop concepts for advertising, marketing, research, sales promotion and similar operations.
8. *To carry on the business of providing manpower placement, consultancy and recruiting, selecting, interviewing, training and employing all types of executives, middle management staff, junior level staff, workers, laborers skilled/ unskilled required to individual, body corporate, societies, undertakings, institutions, associations, government, local authorities etc and carry on the business of providing services as human resources managers, consultants and advisors and to provide contractual advice and guidance on employment matters and other human resource services.
9. ** To carry on the business of including but not limited to providing insurance services, marketing services, promotion, advertising, dissemination of information whether online and offline publicity including, data/ documents/ product collection/ process, lead generation, trade activities, professional and training assignments and other ancillary or related activities."

Its present authorised share capital is Rs. 2,00,00,000/- divided into 2,00,000 Equity Shares of Rs. 100/- each. The present Issued, Subscribed and Paid-up Capital is Rs. 1,65,81,500/- divided into 1,65,815 Equity Shares of Rs. 100/- each. It has 75,634 Secured Non-Convertible Debentures of Rs. 1000/- each aggregating to Rs.

7,56,34,000/-. A copy of its audited Balance Sheet as on 31st March 2024 and the Statement of Profit and Loss for the year ended on that date along with along with the Auditors' Report thereon, have been enclosed with the Application as **Annexure A-1/2**. It is stated that subsequent to the date of the aforesaid Audited Financial Statements, there has not been any substantial change in its financial position except those arising out of or resulting from the normal course of business.

ii. The Applicant Company No.2/Resulting Company has been recently incorporated on 2nd July 2024, under the provisions of the Companies Act, 2013, as a private limited company vide Certificate of Incorporation issued by the Registrar of Companies, Central Registration Centre on behalf of the jurisdictional Registrar of Companies, Punjab, Chandigarh. A copy of its Memorandum and Articles of Association and its 'Master Data' as available on the online portal of the Ministry of Corporate Affairs/the Registrar of Companies are enclosed with the Applicxation as **Annexure A-2/1**. The detailed objects, as set out in its Memorandum of Association, are briefly stated as below:

***Main Objects:***

1. *To carry on the business of buying, purchasing or otherwise acquire any immovable property of all kinds and description and right, title and interest therein and to carry on the business of renting and operating of self -owned or leased real estate and to provide plots and furnished and unfurnished flats or apartments for permanent use including development of building projects for own operation, like for renting, subdividing real estate into lots, without any land improvement and operation of residential home site and to provide advisory services for all types of real estate projects for the purpose, sale, construction, letting or otherwise and undertake agency functions.*

2. *To carry on in India or abroad the business of advertising & publicity agents and contractors and for this purpose to purchase sell, sponsor, hire, charter, manage, acquire, undertake, hold, provide & promote, publicity or advertising time space or opportunity on any radio station, internet, broadcasting centre, television centre, videocassettes, audio cassettes, hoardings, neon sings, electronic display board, cinema cable network, newspapers, magazines, souvenirs and all other present and feature medias or display devices and to do all incidental acts and things necessary for the attainment of objects under these presents.*

3. *To carry on India the business of concept marketing, direct marketing, multilevel marketing, network marketing multi-link gift*

*schemes and to provide high quality of services and products to clients and consumers either directly or through the network of members, consultants, bonafide commission agents, franchises, associates and distributors of multi-level marketing through network publicity, market research analyses, surveys, organizing events, contest, seminar and other advertising and related outdoor activities and to provide multi-level marketing of all types of products/services/consultancy on the internet and other forms of marketing to act as even to organizers, advertisers ,marketing, publicity, stage shows, e-commerce and all other activities related thereto.*

Its present authorised Share Capital is Rs. 24,00,000/- divided into 2,40,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 24,00,000 divided into 2,40,000 Equity Shares of Rs. 10/- each.

As it is recently incorporated on 2nd July 2024, it will prepare its first Audited Financial Statements for the financial year ending 31st March 2025. It has prepared the Unaudited Financial Statements (provisional) for the period ended 20th September 2024, a copy of which has been enclosed as **Annexure A-2/2** with the Application. It has been stated that subsequent to the date of the aforesaid Unaudited financial statements, there has not been any substantial change in its financial position except those arising out of or resulting from the normal course of business.

iii. The Board of Directors of the Applicant Companies in their respective Board meetings held on 24.09.2024, considered and unanimously approved the Scheme subject to sanctioning of the same by this Tribunal. The list of Directors and extracts of the minutes of the above-mentioned Board meetings have been attached with the Application of the Demerged Company as **Annexure A-1/3** and **A-1/4**, respectively and of the Resulting Company as **Annexure A-2/3** and **A-2/4**, respectively.

iv. As per the information available with the Demerged Company and the Resulting Company, as on the date of this Application, no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 1956 or the Companies Act, 2013, or under any other law are pending against the Demerged Company

and the Resulting Company. Further, no material legal proceedings are pending against the Applicant Companies.

v. The circumstances which justify and/or necessitate the Scheme and benefits of the Demerger to the Shareholders and other Stakeholders are summarised as below:

i. Ujjwal Finserv Pvt Ltd (the Demerged Company) is engaged in investment in shares and other securities, providing loans and advances and other related activities. The Company is registered with the Reserve Bank of India (RBI) as a non-deposit accepting Non-Banking Financial Company (NBFC). Apart from the NBFC Business as its core business activities, the Demerged Company is also engaged in real estate business and other ancillary activities. Thus, the Demerged Company has two business verticals-NBFC Business and Real Estate Business.

ii. The Demerged Company is making serious efforts to structure and streamline its operations to achieve growth in its Core Business of NBFC as well as in the Real Estate activities.

iii. To exploit the emerging opportunities and to provide better management focus, achieve greater efficiencies, unlock the true value of its businesses, and accelerated growth, the Management is proposing to hive off the Real Estate Business of the Demerged Company into the Resulting Company to segregate the same from its core business activities.

iv. Entire NBFC Business will be retained in the Demerged Company itself.

**v.** The proposed Demerger will be an important step in risk mitigation and will be in sync with the RBI philosophy. It will also facilitate administrative convenience and ensure optimum utilisation of various resources by the respective Companies.

**vi.** The proposed Demerger will enable the Demerged Company and the Resulting Company to raise necessary funds, invite strategic investors and other stakeholders for their respective businesses. Both these Companies may devise suitable compensation package for their respective human resource.

**vii.** The proposed Demerger will provide scope for independent expansion of various businesses. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business.

**viii.** The proposed Demerger will have beneficial impact on the Demerged Company and the Resulting Company, their employees, shareholders and other stakeholders and all concerned.

vi. As per the report on valuation of shares and share exchange ratio issued by CA Sandeep Kumar Agrawal, IBBI Registered Valuer in respect of Securities and Financial Assets, enclosed with the Application as **Annexure A-3**, the following Share Exchange Ratio has been proposed for the Scheme:

**a.** The Resulting Company-Samra Finance and Properties Pvt Ltd will issue 137 (one hundred and thirty-seven) Equity Shares of ₹10 each, credited as fully paid-up, to the Equity Shareholders of the Demerged Company for every 100 (one hundred) Equity Shares of ₹100 each held in the Demerged Company-Ujjwal Finserv Pvt Ltd.

Any fraction arising out of the aforesaid exchange process, if any, will be rounded off to nearest whole number.

vii. The Board of Directors of the Demerged Company and the Resulting Company, based on the report on the valuation of shares and shares exchange ratio; and on the basis of their independent evaluation and judgment, concluded that the proposed exchange ratio is fair and reasonable to the Shareholders and Stakeholders of the Applicant Companies.

viii. All assets and liabilities including Income Tax and all other statutory liabilities, if any, of the 'Real Estate Business' of Ujjwal Finserv Pvt Ltd will be transferred to and vest in Samra Finance and Properties Pvt Ltd as a going concern.

ix. All the Transferring Employees of the Demerged Company, in service on the Effective Date, shall become the employees of the Resulting Company on such date without any break or interruption in service and upon terms and conditions not less favorable than those applicable to them in the Demerged Company on the Effective Date.

x. Appointed Date for the Scheme will be the same as the Effective Date, or such other date as may be mutually decided by the Board of Directors of the Demerged Company and the Resulting Company with the approval of the National Company Law Tribunal, or such other date as the National Company Law Tribunal, or any other Appropriate Authority may approve.

xi. The provisions relating to the accounting treatment for the proposed Arrangement, as contained in the Scheme, is in conformity with the applicable provisions of the Companies (Indian Accounting Standard) Rules, 2015 and is in conformity with Section 133 of the Companies Act, 2013. The certificates from the respective Statutory Auditors of the Demerged Company and the Resulting Company have been enclosed with the Application as **Annexure 'A-5'**.

xii. The proposed Scheme does not envisage any corporate debt restructuring. There is no proposal to restructure or vary the debt obligation of the Demerged Company and the Resulting Company towards their respective creditors.

xiii. Under the Scheme, no compromise is being proposed with any Secured or Unsecured Creditors of the Demerged Company and the Resulting Company. The proposed Scheme is not prejudicial to any

Secured or Unsecured Creditors of the Demerged Company and the Resulting Company

xiv. The proposed Scheme of will not adversely affect the rights of any of the creditors of the Demerged Company and the Resulting Company. Post-Scheme assets of these Companies will be sufficient to meet all the liabilities in the ordinary course of business.

xv. The proposed Scheme does not envisage any buyback of shares. There is no proposal for the reduction of the share capital of the Applicant Companies except to the extent of utilisation of reserves and surplus by the Demerged Company and the Resulting Company, as the case may be, to account for the proposed Demerger in their respective books of accounts. It is, however, clarified that such utilisation of reserves & surplus would not involve either the diminution of any liability in respect of unpaid share capital or payment to any shareholder of any paid-up share capital. Hence, no creditor of the Applicant Companies will be adversely affected.

xvi. Neither of the Applicant Companies have accepted any Public Deposit as on the date of this Application. The Demerged Company has issued Secured Non-Convertible Debentures. The Resulting

Company, however, has also not issued any Debenture as on the date of this Application.

xvii. The Applicant Companies have not filed any Application or Petition with the same cause of action in the past

xviii. No Director or Key Managerial Personnel of the Demerged Company and the Resulting Company has any material and/or adverse interests in the proposed Scheme of Arrangement save and except as such Director, KMP or Shareholder.

xix. The proposed Scheme is for the benefit of all the Companies, their Shareholders and other stakeholders; is fair and reasonable and is not detrimental to the interest of the public or any person.

xx. The Demerged Company is a closely held private limited company and has 41 Equity Shareholders, as per the list of Equity Shareholders certified by the Chartered Accountants, enclosed with the Application as **Annexure A-1/5**. As obtaining Consent Affidavits from all the Equity Shareholders of the Demerged Company is not practically feasible, it is proposed to convene a meeting of its Equity Shareholders through Video Conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the proposed Scheme.

xxi. As on 31st March 2024, the Demerged Company has 120 Secured Non-Convertible Debenture holders as per the List of Secured

Non-Convertible Debenture holders, duly certified by the Chartered Accountants, enclosed as **Annexure A-1/6** of the Application. Except for the Secured Non-Convertible Debentures, it does not have any other Secured Creditor. It has been proposed to convene a meeting of its Secured Non-Convertible Debenture holders through Video Conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the proposed Scheme.

xxii. As on 31st March 2024, the Demerged Company has 10 Unsecured Creditors as per the List of Unsecured Creditors, duly certified by the Chartered Accountants, enclosed as **Annexure A-1/7** with the Application. It has been proposed to convene a meeting of its Unsecured Creditors through Video Conferencing with facility of remote e-voting, under the supervision of this Tribunal to consider and approve the proposed Scheme.

xxiii. In addition to the aforesaid Unsecured Creditors, as on 31st March 2024, the Demerged Company had some "Statutory Dues & Provisions" giving relevant details and payment status, duly certified by the Chartered Accountants, enclosed as **Annexure A-1/8** with the Application, which have either been paid in full since then or being provision in nature, are not due for payment as on the date of this Application. It has been submitted that if this

Tribunal deems fit and proper, these Statutory Dues & Provisions may be excluded for the purpose of convening the meeting of the Unsecured Creditors of the Demerged Company under the supervision of this Tribunal. Alternatively, these Statutory Dues & Provisions (partially or fully) may also be included for the purpose of convening the meeting of the Unsecured Creditors of the Demerged Company under the supervision of the Tribunal

xxiv. The Demerged Company has also enclosed a Reconciliation Statement of the Liabilities Side of its Audited Balance Sheet as of 31st March, 2024 vis-a-vis the lists of Shareholders, Secured Debenture holders, Unsecured Creditors and Statutory Dues & Provisions, certified by the Chartered Accountants as **Annexure A-1/9**.

xxv. The Resulting Company is a closely held private limited company and has 2 Equity Shareholders and both the Equity Shareholders have given their Written Consents/NOC by way of Affidavit for the proposed Scheme. List of its Shareholders duly certified by the Chartered Accountants, and their Consent Affidavits, in original, are enclosed herewith and collectively marked as **Annexure A-2/5**. In view of the Consent Affidavits given by the Equity Shareholders, it has sought dispensation from the requirement of convening meetings of its Equity Shareholders under the

supervision of this Tribunal for consideration and approval of the Scheme.

xxvi. As on 20th September 2024, the Resulting Company does not have any Secured Creditor. Nil list of Secured Creditors, duly certified by the Chartered Accountants, is enclosed as **Annexure A-2/6** with the Application.

xxvii. As on 20th September 2024, the Resulting Company has only 1 Unsecured Creditor, who has given his Written Consent/NOC by way of Affidavit for the proposed Scheme. The list of Unsecured Creditors, duly certified by the Chartered Accountants and their Consent Affidavit, in original, have been enclosed with the Application as **Annexure A-2/7**. In view of the Consent Affidavits given by its Unsecured Creditors, it has sought dispensation from the requirement of convening meetings of its Unsecured Creditors under the supervision of this Tribunal for consideration and approval of the Scheme.

xxviii. The Applicant Companies have furnished the status of the consent of the Equity Shareholders, Secured Non-Convertible Debenture Holders, Secured Creditors and UnSecured Creditors as follows:

**Demerged Company:**

| Particulars | Total No. | Consent Affidavits Obtained |
|---|---|---|
| Equity Shareholders | 41 | Separate Meetings to be convened[1] |
| Secured Non-Convertible Debenture holders | 120 | |
| Un-secured Creditors[2] | 10 | |

**Resulting Company:**

| Particulars | Total No. | Consent Affidavits Obtained |
|---|---|---|
| Equity Shareholders | 2 | All |
| Secured Creditors | Nil | N.A. |
| Un-secured Creditors | 1 | All |

xxix. In terms of the provisions of Section 230(5) of the Act, Rule 8 of the Rules, 2016, and other applicable provisions, if any, notice of the present Application/Scheme may be served on the following Statutory Authorities namely: (a) the Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (b) Jurisdictional Registrar of Companies, (c) Income Tax Department through the Nodal Officer-Principal Chief Commissioner of Income Tax and (d) The Reserve Bank of India, Department of Non-banking Supervision (DNBS), Chandigarh.

xxx. The Demerged Company is registered with the RBI as a non-deposit accepting NBFC and notice of this Application is, accordingly, required to be served on the RBI for their comments, if any. However, the Scheme will not result in any change in the capital structure of the Demerged Company and will not result in

any change in management or control of the Demerged Company. Hence, no formal approval or NOC is required from the RBI for the Scheme in terms of the provisions of the RBI Regulations.

xxxi. Neither of the Applicant Companies are a subject matter of dissolution. Hence, notice of the present Application/Scheme is not required to be served on the Official Liquidator, Ministry of Corporate Affairs, Chandigarh.

xxxii. Neither of the Applicant Companies is regulated or governed by the Securities and Exchange Board of India (SEBI), the Competition Commission of India (CCI), or any other Sectoral Regulator or Regulatory Authority. Hence, notice of this Application is not required to be served on the SEBI, the CCI, or any other Sectoral Regulator or Regulatory Authority.

xxxiii. The Scheme does not attract the provisions of the Competition Act, 2002. Hence, no intimation to or approval from the Competition Commission of India is required for the present Scheme of Arrangement in terms of the provisions of the Competition Act, 2022, the Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011, Rules, Regulations and Notifications issued thereunder and other applicable provisions, if any. The Certificate of the Chartered Accountant giving relevant details and confirming

that the proposed Scheme does not attract the provisions of the Competition Act, 2002, has been enclosed as **Annexure A-6**.

xxxiv. The Applicant Companies are not governed by any specific sectoral regulator. Therefore, no notice is required to be issued to any sectoral regulator. Further, there is no requirement for the Applicant Companies to apply to the Competition Commission of India (hereinafter referred to as the "CCI") for approval as the threshold limits specified for the mergers and amalgamations i.e. value of turnover being acquired, taken control of, merged or amalgamated is below the threshold limits for which CCI approval is required, i.e., turnover of not more than rupees One thousand two hundred and fifty crore in India, as on the Appointed Date i.e. 1st April, 2024. Certificate of the Chartered Accountant with regards to non-applicability of CCI has been attached with the Application as **Annexure 'A-6'**.

**ANALYSIS AND FINDING**

5. Since this is the First Motion Company Application seeking an order for dispensation/convening of the meetings of Equity Shareholders, Secured Non-Convertible Debenture Holders, Secured Creditors, and Unsecured Creditors, the analysis has been limited to that and other issues would be analysed at the time of Second Motion Petition of the Applicant Companies.

6. It is further noted from the Index of Charges in the Master Data of the Demerged Company that the following charges are yet to be satisfied:

**Index of Charges**

| Sr. No | SRN | Charge Id | Charge Holder Name | Date of Creation | Date of Modification | Date of Satisfaction | Amount | Address | Whether charge registered by other entity | Asset Holder Name |
|---|---|---|---|---|---|---|---|---|---|---|
| 1 | AA1216322 | 100663439 | AGILE FINSERV PRIVATE LIMITED | 15/12/2022 | - | - | 25,00,000 | 11 , Ground Floor, City Square Building Near Kesar Petrol Pump, EH-197, Civil Li,ne,Jalandhar, Jalandhar - I, Punjab, India, 144001 | No | - |
| 2 | R28390078 | 100312193 | CATALYST TRUSTEESHIP LIMITED | 06/12/2019 | - | - | 3,35,05,000 | GDA House, First Floor, Plot No. 85,S. No. 94 & 95, Bhusari Colony (Right), Kothrud,Pune, , India, 411038 | No | - |
| 3 | R21278635 | 100306633 | CATALYST TRUSTEESHIP LIMITED | 20/11/2019 | - | - | 4,64,95,000 | GDA House, First Floor, Plot No. 85,S. No. 94 & 95, Bhusari Colony (Right), Kothrud,Pune, , India, 411038 | No | - |
| 4 | G47256219 | 100108097 | OTHERS | 24/06/2017 | - | - | 44,39,000 | H. No. 161 New Shivaji Nagar,H. No. 161 New Shivaji Nagar,jalandhar, Punjab, India, 144002 | No | - |
| 5 | G33775677 | 100074591 | Adv. Kumar Uttam | 17/01/2017 | - | - | 42,01,000 | H. No. 161 New Shivaji Nagar,Gali No. 7,Basti Danishmanda,Jalandhar, Punjab, India, 144002 | No | - |
| 6 | G23724412 | 100061775 | Adv. Kumar Uttam | 25/10/2016 | - | - | 2,44,91,000 | H. No. 161 New Shivaji Nagar,Gali No. 7,Basti Danishmanda,Jalandhar, Punjab, India, 144002 | No | - |
| 7 | G04011052 | 100029100 | Adv. Kumar Uttam | 30/04/2016 | - | - | 1,15,85,000 | H. No. 161 New Shivaji Nagar,Gali No. 7,Basti Danishmanda,Jalandhar, Punjab, India, 144002 | No | - |
| 8 | C76711316 | 10619407 | CA Sangeeta Sharma | 28/10/2015 | - | - | 56,60,000 | Moti Bazzar, Pujan Mohalla, Phagwara,Phagwara, Punjab, India, 144001 | No | - |
| 9 | C39922708 | 10585616 | CA Sangeeta Sharma | 29/06/2015 | - | - | 13,40,000 | Moti Bazzar, Pujan Mohalla,Phagwara,Phagwara, Punjab, India, 144001 | No | - |

It is not clear from the Scheme whether these charges on the assets would be transferred to the Resulting Company along with the Demerged Undertaking or would remain with the Demerged Company with its remaining business. The Applicant Companies need to clarify the same.

7. As per the financial statements for the year ended 31st March 2024 of the Demerged Company, it has property, plant, and equipment-tangible assets amounting to Rs. 242,758.10 as shown below:

UJJWAL FINSERV PRIVATE LIMITED
Formerly known as Samra Finance and Properties Private Limited
THE AXIS, 1st FLOOR, BMC CHOWK, JALANDHAR - 144001

NOTE - 10 PROPERTY, PLANT AND EQUIPMENT- TANGIBLE ASSETS

Amounts in Rupees Hundreds

| | | COST | | | | DEPRECIATION | | | | WRITTEN DOWN VALUE AS ON | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| $ No. | TANGIBLE ASSETS | AS ON 1.4.2023 | Addition | SALE/ TRANSFER | BALANCE | AS ON 1.4.2023 | Addition | Adjusted | Total | 31.3.2024 | 31.3.2023 |
| 1 | FREEHOLD LAND | 237,714.16 | - | | 237,714.16 | - | - | - | - | 237,714.16 | 237,714.16 |
| 2 | LEASEHOLD LAND | 3,891.90 | - | - | 3,891.90 | - | - | - | - | 3,891.90 | 3,891.90 |
| 3 | BUILDING AT CHANDIGARH | 1,929.29 | - | - | 1,929.29 | 1,643.56 | 11.69 | - | 1,655.25 | 274.04 | 285.73 |
| 5 | FURNITURE & FIXTURES | 1,008.46 | - | - | 1,008.46 | 958.01 | - | - | 958.01 | 50.45 | 50.45 |
| 6 | VEHICLE (CARS) | 3,064.58 | - | - | 3,064.58 | 3,016.91 | - | - | 3,016.91 | 47.67 | 47.67 |
| 7 | VEHICLE (OTHERS) | 204.50 | - | - | 204.50 | 204.49 | - | - | 204.49 | 0.01 | 0.01 |
| 9 | OFFICE EQUIPMENT | 5,062.87 | 70.00 | - | 5,132.87 | 4,082.07 | 270.93 | - | 4,353.00 | 779.87 | 980.80 |
| | Total | 252,875.75 | 70.00 | - | 252,945.75 | 9,905.03 | 282.62 | - | 10,187.65 | 242,758.10 | 242,970.72 |
| | PREVIOUS YEAR AMOUNTS IN RUPEES | 416,584.66 | - | 162,119.50 | 254,465.16 | 11,239.98 | 283.11 | 28.65 | 11,494.44 | 242,970.72 | - |

It is noted from the Proforma Balance Sheet of 31st March, 2024 of the Demerged Business attached with the Valuer Report that almost entire tangible assets would be transferred to the Resulting Company.

**Ujjwal Finserv Pvt Ltd**
**(Demerged Company)**

**Calculation of Net Asset Value**
**(As on 31st March, 2024)**

| Particulars | Amount (₹) Demerged Business | Amount (₹) Remaining Business | Amount (₹) Entire Company |
|---|---|---|---|
| **Non-current Assets** | | | |
| Fixes Assets | 2,42,58,598.50 | 17,211.00 | 2,42,75,809.50 |
| Non-current Investments | - | 2,14,52,727.45 | 2,14,52,727.45 |
| Other Non-current Assets | 11,790.87 | 28,232.00 | 40,022.87 |
| **Current Assets** | | | |
| Cash & Cash Equivalents | 43,580.00 | 43,23,722.09 | 43,67,302.09 |
| Short-term Loans & Advances | 81,398.00 | 20,22,86,680.55 | 20,23,68,078.55 |
| Other Current Assets | 24,532.00 | 1,06,18,926.00 | 1,06,43,458.00 |
| | | | |
| **Total Assets (A)** | **2,44,19,899.37** | **23,87,27,499.09** | **26,31,47,398.46** |
| | | | |
| Non-current Liabilities | 2,21,16,103.00 | 10,48,14,847.69 | 12,69,30,950.69 |
| Current Liabilities | 38,588.00 | 3,42,45,720.00 | 3,42,84,308.00 |
| **Total Liabilities (B)** | **2,21,54,691.00** | **13,90,60,567.69** | **16,12,15,258.69** |
| | | | |
| **Net Asset Value (NAV) [A-B] (C)** | **22,65,208.37** | **9,96,66,931.40** | **10,19,32,139.77** |

8. In view of the transfer of almost entire tangible assets of the Demerged Company, it is not clear whether the remaining assets of the Demerged Company would be sufficient to meet its liabilities. The RBI is requested to clarify the above in its report.

9. It is noted that the Memorandum of Association of the Demerged Company does not have the object clause providing for demerger and the Memorandum of Association does not have the object clause providing for acquisition arising out of demerger.

**DIRECTIONS**

10. Accordingly, the directions of this Bench in the present case are as under:

**I. In relation to the Demerged Company:**

a. The meeting of the Equity Shareholders be convened as prayed for, on such date, time and venue either personally/ physically or through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

The quorum of the above meeting of the Equity Shareholders shall be 21 in number or 51% in value of the Equity Share Capital. The proxy(ies) will not be

counted for the calculation of the quorum for the above meeting of the Equity Shareholders. In case the required quorum as noted above is not present within half an hour from the time appointed for holding the meeting of the Equity Shareholders, then the Chairman shall adjourn the meeting to the same day in the next week at the same time and place. The intimation about the adjourned meeting should be given to each member, as the case may be, through e-mail or by any other mode. If the quorum is still not present on such adjourned date, then the Chairman may furnish a report to the effect to this Tribunal within seven days thereafter;

b. The meeting of the Secured Non-Convertible Debenture Holders be convened as prayed for, on such date, time, and venue either personally/ physically or through video conferencing with the facility of remote e-voting, as decided by the Chairperson with the consent of the Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

The quorum of the above meeting of the Secured Non-Convertible Debenture Holders shall be 61 in number

or 51% in value of the Secured Non-Convertible Debenture Holders. In case the required quorum as noted above for the meeting of the Secured Non-Convertible Debenture Holders is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the persons present and voting shall be deemed to constitute the quorum.

c. There are no Secured Creditors, therefore, there is no scope for any meeting.

d. The meeting of the Unsecured Creditors be convened as prayed for, on such date, time and venue either personally/ physically or through video conferencing with the facility of remote e-voting, as decided by the Chairperson with the consent of the Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

The quorum of the above meeting of the Unsecured Creditors shall be 6 in number or 51% in value of the Unsecured Creditors. In case the required quorum as noted above for the meeting of the Unsecured Creditors is not present at the commencement of the

meeting, the meeting shall be adjourned by 30 minutes and thereafter the persons present and voting shall be deemed to constitute the quorum.

**II.** **<u>In relation to the Resulting Company</u>:**

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern and the fact that both the Equity Shareholders have given their consents by way of affidavits.

b. There are no Secured Creditors, therefore there is no scope of any meeting.

c. The meeting of the Unsecured Creditors is dispensed with keeping in view the fact that the sole Unsecured Creditor has given his consent by way of affidavit.

**III.** Justice (Retd.) Mahavir Singh Chauhan, Address: 145, Sector-123, New Sunny Enclave, Kharar (Mohali) SAS Nagar- 140310 Mobile No. 9876097772, Email: mschauhan1953@gmail.com is appointed as the Chairperson for the meetings to be called under this order. An amount of ₹ 1,50,000 /- (Rupees One Lakh Fifty Thousand Only) be paid for his services as the Chairperson.

**IV.** Mr. Aditya Jain, Advocate, Address: 133, Sector 35-A, Chandigarh-160022, Mobile No. 9779288882. Email:

adv.adityajain88@gmail.com, is appointed as the Alternate Chairperson for the meetings to be called under this order. An amount of ₹ 1,00,000/- (Rupees One Lakh Only) be paid for his services as the Alternate Chairperson.

**V.** Mr. Vipul Garg, Address: House No. 74, Sector 13, Urban Estate, Karnal-132001, Mobile No. 9896046612, Email: vipulca@rediffmail.com is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of ₹75,000/- (Rupees Seventy-Five Thousand Only) be paid for his services as the Scrutinizer.

**VI.** The fee of the Chairperson, Alternate Chairperson, Scrutinizer and other out-of-pocket expenses for them shall be borne by the Demerged Company.

**VII.** The individual notices of the above meetings shall be served, to all the Equity Shareholders, Secured Non-Convertible Debenture Holders, and Unsecured Creditors of the Demerged Company through registered post or speed post or through courier or e-mail, 30 days in advance before the schedule date of meeting, indicating the day, date, place and time as aforesaid, together with a copy of the Scheme, copy of explanatory statement with Valuation Report and any other documents, as may be prescribed under the Act, in the same

manner as the notices shall be served to various authorities as per Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. It is clarified that the notice of meetings published in the newspapers will not be deemed to be the notice to the Equity Shareholders, Secured Non-Convertible Debenture Holders and Unsecured Creditors.

**VIII.** The audited accounting statement of Applicant Companies as on 31.03.2024 and the provisional accounting statement on a subsequent date in terms of Section 232 (2)(e) of the Act be also circulated for the aforesaid meetings.

**IX.** Along with the notices, the Demerged Company shall also send, statements explaining the effect of the scheme on the creditors, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme of amalgamation on any material interests of the Directors of the Company or the debenture trustees if any, as provided under sub-section (3) of Section 230 of the Act.

**X.** The Demerged Company shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meeting, indicating the day, date, place and the time of the meeting as aforesaid, in newspaper namely; “Financial Express” (English,

Chandigarh and Punjab Edition) in English language and "Ajit" (Punjabi, Chandigarh and Punjab Edition), in Hindi language and "Jag Bani" (Punjabi, Chandigarh and Jalandhar Edition) in Punjabi language. It be stated in the advertisement that the Copies of the Scheme, Explanatory Statements etc. are required to be published pursuant to Sections 230 to 232 of the Act. The publication shall also indicate that the explanatory statement required to be furnished pursuant to Sections 230 & 232 can be obtained free of charge at the registered office of the Applicant Companies. The Applicant Companies shall also publish the notice on their website, if any.

**XI.** It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the company on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least ten days before the date fixed for the meeting.

**XII.** Voting shall be allowed on the "Scheme" through electronic means which will remain open for a period as mandated under Clause 8.3 of Secretarial Standards on General Meetings to

the Applicant Company under the Act and the Rules framed thereunder.

**XIII.** The Scrutinizer's report will contain his/ her findings on the compliance to the directions above.

**XIV.** The Chairperson shall be responsible to report the result of the meeting to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 within 7 (seven) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Company and the Alternate Chairperson. The Scrutinizer will assist the Chairperson and Alternate Chairperson in preparing and finalizing the report.

**XV.** The Demerged Company shall individually and in compliance of sub-Section (5) of Section 230 of the Act and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax

Department through the Nodal Officer – Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector 17-E, Chandigarh by mentioning the PAN number of the Applicant Companies; (iv) Reserve Bank of India; (v) RERA of respective State where the project(s) of the Company are situated; and (vi) Authorities, to whom the statutory dues are payable as per the financial statements of the Applicant Company No. 1; and (vii) such other Sectoral Regulator(s) governing the business of the Applicant Company, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the applicant company, failing which it shall be presumed that they have no objection to the proposed Scheme.

**XVI.** The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

**XVII.** The authorized representative of the Demerged Company shall furnish an affidavit of service of notice of meeting and

publication of advertisement and compliance of all directions contained herein at least a week before the proposed meeting.

11. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Company.

12. With the aforesaid directions, this First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition in accordance with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. A copy of this order be supplied to the learned counsel for the Applicant, who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer immediately.

-sd- -sd-

**(Umesh Kumar Shukla)**
**Member (Technical)**

**(Harnam Singh Thakur)**
**Member (Judicial)**

December 18,2024
ASG